DESIGN PROTOTYPE — SAMPLE EDITION

The organisations, people, quotes and figures in this edition are fictional and are not current news.

over **coffee.**

Fri 2 Oct

Morning. *Here's the tea.*

Five things happened. About 3 minutes to catch up.

AI

The quick version

1. Kestrel cut its AI prices by 60% and dropped a mini model anyone can use.
2. Draft rules would make the biggest AI models pass an outside audit before launch.
3. An AI weather model beat the usual one 10 days out. Early days, not peer reviewed yet.
4. AI chips now take 9 weeks to get, down from 26.
5. More firms use AI, but only 9% say it saves them money.



01 AI Confirmed

Okay, this one is big

Kestrel just cut its AI prices by 60%

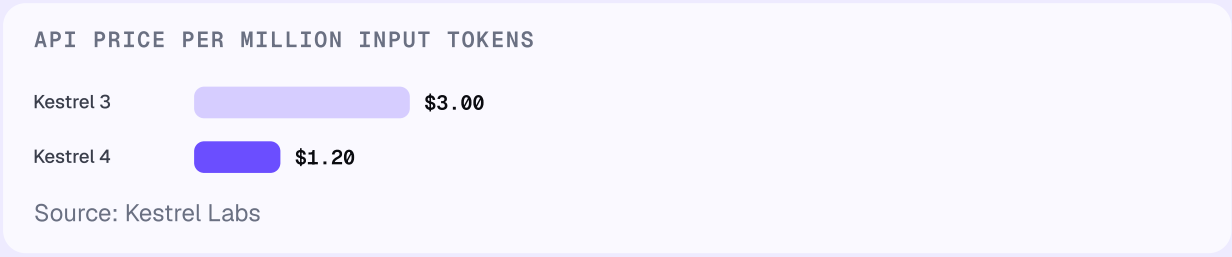
Then it gave away a mini version. Two rival labs were asked about it. Both declined to comment.

Short version: Way cheaper. A bit smarter. Plus a mini version anyone can grab.

Okay, so. Kestrel Labs just launched Kestrel 4. The big news is the price. It now costs $1.20 for every million tokens. It used to be $3.00. That is 60% less.

Now the twist. Kestrel also released a smaller model called Kestrel 4 Mini. Anyone can download it. The licence even lets you use it for business. Reviewers got it running on a single 48GB graphics card.

Kestrel says the new model gets 71% of its coding tests right, up from 54%. Small catch. That is Kestrel's own test. Nobody has independently tested it yet.



Why you should care

Cheaper AI means more companies can afford it. Analysts say rivals may have to cut their prices too, maybe within weeks. Watch this space!

> **"Capability is no longer the bottleneck. Cost and reliability are."**
>
> Ilse Moreau, Chief executive, Kestrel Labs · via Meridian Wire

DID YOU KNOW?

A token is about three-quarters of a word. So a million tokens is around 750,000 words.

Tell me more overcoffee.app/s/preview-single-10/st-ai-kestrel-4?m=s

02 AI ● Confirmed

Rules are coming

Regulators want big AI models checked before they launch

Industry groups say the idea is fair. The fine print? Not so much.

Short version: Outside checks before big AI launches. The details are still being argued over.

A new draft rulebook says the most powerful AI models need an outside audit before launch. The company would also have to publish a summary of what the audit found. It comes from the Atlantic Digital Standards Board.

People have until 15 December to respond. The plan is for the rules to start on 1 July 2027. Industry groups say it is still not clear which models count.

The bit that matters

This would make outside checks a must. But who does them? The Auditing Standards Forum says fewer than 10 organisations can do audits like this right now.

> **"The intent is reasonable; the threshold is not yet workable."**
>
> Marta Lindqvist, Open Compute Alliance · via Northgate Times

Tell me more overcoffee.app/s/preview-single-10/st-ai-audit-code?m=s

03 AI · Emerging · not peer reviewed

Science corner

An AI weather model beat the usual one at 10 days. Early days, though

Ten days out, it won most of the time. Farmers are paying attention.

Short version: Promising. But not peer reviewed yet.

Researchers built an AI weather model. It is from the Northern Meteorological Service and Aster Systems. Over two years of testing, it beat the best regular model on 87% of the things they measured, 10 days ahead.

Big catch. The study has not been peer reviewed, so treat it as early. The weather service will run the AI next to its usual model from November. Official forecasts will not change for now.

Here's the thing

Agronomists say a reliable ten-day window would change when growers plant, spray and harvest. It is the gap between guessing and planning when to plant, spray or harvest.

> **"Ten days is the difference between guessing and planning."**
>
> Thandi Mokoena, Agronomist · via Field & Furrow

Tell me more overcoffee.app/s/preview-single-10/st-ai-weather-model?m=s

04 AI · Confirmed

Supply chain tea

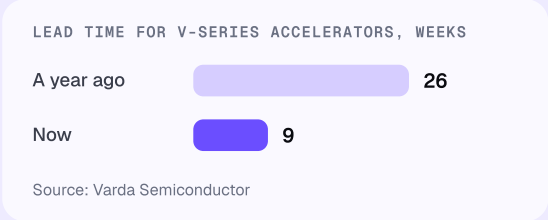
Varda says its AI chip wait is down to 9 weeks

A year ago you waited half a year. Now it is about nine weeks.

Short version: Chips are easier to get. Good news if you are not a tech giant.

Remember when nobody could get AI chips? Varda Semiconductor says that is over. Its AI chips now arrive in 9 weeks. A year ago, it took 26.

Business is booming too. Varda says its data-centre sales jumped 41% to $8.4bn. Its shares rose 6% after hours, Meridian Wire reported.



So what?

For two years, getting chips decided who could play in AI. Shorter waits could help smaller companies catch up, analysts say.

> **"The shortage phase is behind us."**
>
> Priya Raman, Chief financial officer, Varda Semiconductor · via Meridian Wire

Tell me more overcoffee.app/s/preview-single-10/st-ai-chip-lead-times?m=s

05 AI · Confirmed

Reality check

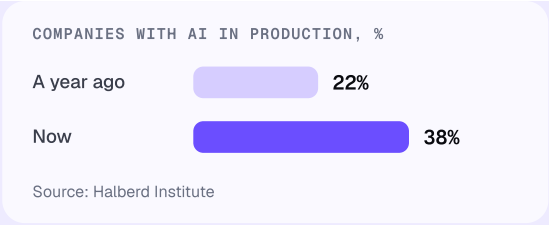
Lots of companies use AI. Hardly any can prove it saves money

38% have it running. Only 9% can show savings.

Short version: AI use is up. Proof it is worth it? Not so much.

The Halberd Institute asked 1,200 companies about AI. Here is what they said. 38% now have at least one AI system running for real. A year ago it was 22%.

Now the awkward part. Only 9% say they see real savings across the company. The biggest problem is messy data (61%). Cost comes next (47%). Remember, these are the companies' own answers.



Why it's a big deal

Everyone is trying AI. The next question the boss will ask is simple. Is it paying off?

Tell me more overcoffee.app/s/preview-single-10/st-ai-enterprise-survey?m=s

Three questions *over coffee*

Were you paying attention? It's all in today's edition.

1. How much did Kestrel Labs cut its API price?

A 20% B 60% C 90%

2. When does consultation on the draft audit code close?

A 15 December B 1 July 2027 C It already has

3. On what share of variables did the AI weather model come out ahead?

A Half B 87% C All of them

Answers: 1B · 2A · 3B

IF YOU REMEMBER *one thing…*

When one lab cuts its price, rivals are under pressure to follow. Analysts say within weeks.

C.

That's it. You're all caught up. *Go enjoy your coffee.*

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